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**MEGA CONCEPT
REVISION**

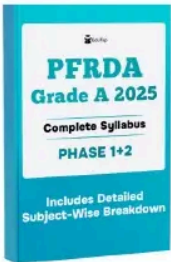
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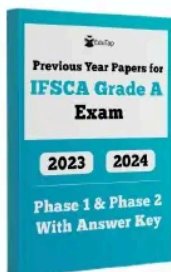
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Q.1

Q.1) A/An _____ event is known as a happening of consequence to a business organization which consists of transactions and which are measurable in monetary terms.

[A] Majestic

[B] Economic

[C] External

[D] Mesmerizing

[E] Countering

Answer: B

Explanation

Q.1) Explanation:

- All the events which can be measured in **terms of money** are classified as **economic events** and are recorded in the financial statements. **Hence, Option B is the correct answer.**
- It includes all the events like the *purchase of materials, sale of goods, acquisition of machinery, etc.*

All other options are irrelevant to the question.

Additional Information:

- If an event involves transactions between an **outsider** and an organization, these are known as **external events**.

Examples:

- Sale of merchandise to the customers.
- Rendering services to the customers by ABC Limited.
- Purchase of materials from suppliers.
- Payment of monthly rent to the landlord, etc.

- An **internal event** is an economic event that occurs entirely between the **internal wings** of an enterprise,

Examples:

- Supply of raw materials or components by the inventory department to the manufacturing department.
- Payment of wages to the employees, etc.



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Q.2

Q.2) Which among the following statements is incorrect?

- [A] Recording is the process of entering business transactions in the books of original entry.
- [B] Communication involves communicating the financial statements to various users.
- [C] Identifying involves analyzing and interpreting financial data.
- [D] Measuring means quantification of business transactions into financial terms.
- [E] None of the above

Answer: C



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Explanation

- **Identifying** means **determining what transactions to record**, i.e., to identify events that are to be recorded. **Hence, Option C is incorrect and is the correct answer.**
- - It involves observing activities and selecting those events that are considered of financial character and relate to the organization.
 - The business transactions and other economic events, therefore, are evaluated for deciding whether it has to be recorded in books of account.
 - **For example**, the value of human resources, changes in managerial policies, or appointment of personnel are important but none of these are recorded in books of account. However, when a company makes a sale or purchase, whether on cash or credit or pays salary it is recorded in the books of account.



Q.3

Which of the following is/are other names for Accounting Principles?

- [A] Accounting Concepts
- [B] Accounting Conventions
- [C] Accounting Postulates
- [D] Both A and B
- [E] All of the above

Answer: E



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Explanation

- **Accounting principles** refer to the rules or guidelines adopted for recording and reporting business transactions and to bring uniformity in preparing and presenting financial statements.
- From the practical viewpoint, these principles are also referred to as **principles, postulates, conventions modifying principles, assumptions, etc.**, and have been used interchangeably. **Hence, Option E is the correct answer.**

Additional Information:

- **Accounting Concepts** are the basic ideas or assumptions under the theory base of accounting that provide certain working rules for the accounting activities of an organization.
- There are 13 important basic accounting concepts that are to be followed by **companies to prepare true and fair financial statements.**
- The **important concepts** have been listed below:

- | | |
|-----------------------------|--------------------------------------|
| • Business entity; | • Revenue recognition (Realisation); |
| • Money measurement; | • Matching; |
| • Going concern; | • Full disclosure; |
| • Accounting period; | • Consistency; |
| • Cost | • Conservatism (Prudence); |
| • Dual aspect (or Duality); | • Materiality; |
| | • Objectivity. |



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Q.4

According to ___X___ concept, the amount of Rs.1,00,000 invested in ABC Ltd. by its owner will be considered a liability to the business.

What will come in place of X?

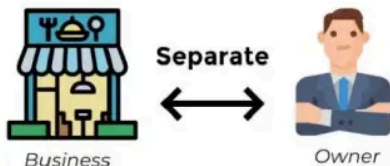
- [A] Going Concern Concept
- [B] Business Entity Concept
- [C] Matching Concept
- [D] Revenue Recognition Concept
- [E] None of the above

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Explanation

Business Entity Concept

- The **Business Entity Concept** assumes that a business has a **distinct and separate entity from its owners**.
- It means that for the purposes of accounting, the business and its owners are to be treated as two separate entities.
- If an owner invests money in the business, it will be treated as a **liability** (capital) for the business. **Hence, Option B is the correct answer.**
- However, if the owner takes out some money from the business for personal use, it will be considered **drawings**.
- The **accounting records** are made in the books of accounts from the point of view of the business unit and not that of the owner.
- **Example:** The amount of Rs.1,00,000 invested in ABC Ltd. by **its owner will be considered a liability to the business.**



Additional Information:

- **Going Concern Concept** assumes that a business firm would continue to carry out its operations indefinitely, i.e. for a fairly long period of time, and would not be liquidated in the foreseeable future. **Hence, Option A is incorrect.**
- The **Matching Concept** states that expenses incurred in an accounting period should be matched with revenues during that period. It follows from this that the revenue and expenses incurred to earn these revenues must belong to the same accounting period. **Hence, Option C is incorrect.**
- The **Revenue Recognition Concept** requires that the revenue for a business transaction should be included in the accounting records only when it is realized. **Hence, Option D is incorrect.**



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Q.5

Mohan purchased goods for Rs 15,00,000 and sold $\frac{4}{5}$ th of the goods for Rs 18,00,000 and met expenses amounting Rs 2,50,000 during the year, 2015. He counted the net profit as Rs 3,50,000. Which of the accounting concept was followed by him?

- [A] Objectivity Concept
- [B] Matching Concept
- [C] Conservatism Concept
- [D] Cost Concept
- [E] None of the above

Answer: B



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Explanation

Matching Concept

- As per **Matching Concept**, While calculating the net profit, expenses of the particular duration should be deducted from the respective revenue.
 - Here, the revenue = 18,00,000 and Purchase for the year = $15,00,000 \times 4 / 5 = 12,00,000$.
 - Expenses for the year = 2,50,000
 - Therefore, Net Profit = $18,00,000 - 12,00,000 - 2,50,000 = 3,50,000$. **Hence, Option B is the correct answer.**
- The matching concept states that an organization should **recognize its expenses in the same financial year if the expense is related to the revenue of that year**.
- This concept is based on the **accounting period concept**. An important objective of business is to determine profit periodically.
- It is necessary to match the '**revenues**' of the period with the '**expenses**' of that period to determine the correct profit (or loss) for the accounting period.
- Profit earned by the business during a period can be correctly measured only when the revenue earned during the period is matched with the expenditure incurred to earn that revenue.
- It is not relevant when the payment was made or received.
- Therefore, as per this concept, adjustments are made for all outstanding expenses, prepaid expenses, accrued income, unearned income, etc.
- In brief, according to this concept, the **expenses for an accounting period are matched against related revenues**, rather than cash received and cash paid.
- This concept should be followed while preparing financial statements to have a true and fair view of the profitability and financial position of a business firm.
- **For example**, A company acquires production equipment for Rs1,00,000 that has a projected useful life of 10 years. It should charge the cost of the equipment to depreciation expense at the rate of Rs 10,000 per year for ten years so that the expense is recognized over the entirety of its useful life.

Additional Information:

- The **Objectivity Concept** requires that accounting transactions should be recorded in an objective manner, free from the bias of accountants and others. **Hence, Option A is incorrect.**



Q.6

Which of the following statement is incorrect in respect of accounting principles ?

- (a) Only those transactions and happenings in an organisation which can be expressed in terms of money are to be recorded in the book of accounts.
- (b) Accounting period refers to the span of time at the end of which the financial statements of an enterprise are prepared.
- (c) The accounting records are made in the book of accounts from the point of view of the owner and not that of the business unit.
- (d) That accounting transaction should be recorded in an objective manner, free from the bias of accountants and others.
- (e) None of the above

Answer: C



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Explanation

- The concept of business entity assumes that business has a distinct and separate entity from its owners.
- It means that for the purposes of accounting, the business and its owners are to be treated as two separate entities.
- Keeping this in view, when a person brings in some money as capital into his business, in accounting records, it is treated as liability of the business to the owner.



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Q.7

Economic life of an enterprise is split into the periodic interval to measure its performance is as per

- (a) Entity
- (b) Matching
- (c) Periodicity
- (d) Accrual

Answer: (c)



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Explanation

Periodicity Assumption (also called the Time Period Concept) states that the ongoing life of a business can be divided into artificial time periods (such as months, quarters, or years) for the purpose of reporting financial results. This assumption allows businesses to present financial performance over consistent, comparable periods, despite their operations being continuous.



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Q.8

A purchased a car for 5,00,000, making a down payment of 1,00,000 and signing a 4,00,000-bill payable due in 60 days. As a result of this transaction

- (a) Total assets increased by 5,00,000.
- (b) Total liabilities increased by 4,00,000.
- (c) Total assets increased by 4,00,000 with corresponding increase in liabilities by 4,00,000
- (d) Total Assets increased by 4,00,000 with corresponding decreases in liabilities by 4,00,000

Answer: c



Explanation

Assets:

- Vehicle (new asset): + ₹5,00,000
- Cash (used): – ₹1,00,000
- ➡ Net Increase in Assets = ₹4,00,000.
- Liabilities: Bills Payable: + ₹4,00,000



Q.9

Q.1) Business transactions are usually evidenced by an appropriate document. Which of the following is not an appropriate document?

- [A] Cash Memo
- [B] Invoice
- [C] Cheque
- [D] Pay in slip
- [E] None of the above

Answer: E



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Explanation

All are appropriate documents. Hence, **Option E is the correct answer.**

Business transactions are usually evidenced by appropriate documents such as:

- **Cash memo:** It is a document of sale of goods against **cash**. It is issued by a seller to the buyer. It has details of goods sold.
- **Invoice:** It is a document of sales of goods on **credit**. It has the details of goods sold and also the name of the buyer.
- **Cheque:** It is an order to the bank, in writing, to pay a specified amount to the bearer or to the person named in it.
- **Pay-in-slip:** This is a form made available by the bank to deposit the amount into the bank.
Specimen:



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Q.10

Which among the following statements is incorrect?

- [A] A Credit Note is generally prepared by seller.
- [B] Debit Note is a generally prepared by the buyer.
- [C] A voucher showing a transaction that contains multiple debits/credits is called compound Voucher.
- [D] When cash or cheque is received from the customer, a receipt for the amount received is issued.
- [E] None of the above

Answer: E



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Explanation

[A] A Credit Note is generally prepared by the seller. - This is correct. A credit note is issued by the seller to the buyer, typically when the buyer returns goods or when there is an overcharge.

[B] Debit Note is generally prepared by the buyer. - This is also correct. A debit note is issued by the buyer to the seller, generally when the buyer returns goods or disputes an invoice.

[C] A voucher showing a transaction that contains multiple debits/credits is called compound Voucher. - This is correct. A compound voucher contains multiple debits and credits in a single transaction.

[D] When cash or cheque is received from the customer, a receipt for the amount received is issued. - This is correct. When payment is received from a customer, a receipt is issued to acknowledge the transaction.

Since all the statements are correct, the correct answer is [E] None of the above.



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Q.11

Income and Expenditure Account is

- (a) Real Account
- (b) Personal Account
- (c) Nominal Account
- (d) Capital Account
- (e) None of the above

Answer: C



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Explanation

The **Income and Expenditure Account** is similar in nature to a **Profit and Loss Account** and is used by **non-profit organizations** (like clubs, trusts, societies) to determine the surplus or deficit during a specific accounting period.

Here's why it's classified as a **Nominal Account**:

- **Nominal accounts** relate to **expenses, losses, incomes, and gains**.

- The **Income and Expenditure Account** records **all revenues and expenses** of the organization for the year.

- It shows whether the organization has made a **surplus (income > expenditure)** or a **deficit (expenditure > income)**.

This account **does not carry forward balances** to the next year—its balance is transferred to the **Capital Fund** (or General Fund), which is a part of the balance sheet.



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Q.12

Which one of the following is the first book in which the transactions of a business unit are recorded?

- (a) Balance Sheet
- (b) Cash Book
- (c) Ledger
- (d) Journal
- (e) None of the above

Answer: d



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Explanation

The **Journal** is known as the **book of original entry** in accounting. Here's why:

- It is the **first book** where **all business transactions** are recorded **chronologically** and **with proper narration**.
- Every transaction is recorded in **journal entries**, which include **debit and credit aspects**, according to the **double-entry system** of bookkeeping.
- These entries are later **posted to the Ledger**, which groups the transactions by account.



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Q.13

The periodic total of purchases return journal is posted to :

- (i) Purchase account
- (ii) Profit and loss account
- (iii) Purchase returns account
- (iv) Furniture account
- (v) None of the above

Answer: iii



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Explanation

Purchases (Journal) Book

Date	Invoice No.	Name of Supplier (Account to be credited)	L.F.	Amount ₹

Purchases Return (Journal) Book

Date	Debit Note No.	Name of the Supplier (Account to be debited)	L.F.	Amount ₹

Purchases Return Account

Dr.				Cr.			
Date	Particulars	J.F.	Amount ₹	Date	Particulars	J.F.	Amount ₹
					Sundries as per purchase returns book		13,200

Explanation

When goods previously purchased are returned to the supplier, the business records this in a **Purchase Returns Journal** (also called Return Outwards Journal). This journal accumulates all such returns over a period (typically a month), and at the end of that period, a **periodic total** is posted to the **Purchase Returns Account** in the ledger.

Here's a breakdown:

- **Purchase Account (Option i):** This is used to record purchases of goods, not returns.
 - **Profit and Loss Account (Option ii):** This is used at the end of an accounting period to determine net profit or loss—not for direct posting of returns.
 - **Furniture Account (Option iv):** Only used when furniture is purchased or returned—not relevant to regular purchase returns unless it's specifically furniture being returned, which is uncommon in journal totals.
- Hence, **Option (iii)** is the most appropriate and standard accounting treatment.



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Q.14

The periodic total of sales return journal is posted to :

- (i) Sales account
- (ii) Goods account
- (iii) Purchases return account
- (iv) Sales return account
- (v) None of the above

Answer: (iv)



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Explanation

The **Sales Return Journal** (also known as the **Return Inwards Journal**) is used to record all goods returned by customers. These are previously sold items now being returned, usually due to defects, damage, or dissatisfaction.

At the end of a period (weekly, monthly, etc.), the **total of the Sales Return Journal** is **posted to the debit side of the Sales Return Account** in the general ledger. This reflects a reduction in total sales revenue.

Let's analyze the other options:

- (i) **Sales account:** This records only forward sales, not returns.
- (ii) **Goods account:** Not used in this context; it's not a standard ledger account in this case.
- (iii) **Purchases return account:** This is for goods returned to suppliers (outward returns), not customer returns.

Therefore, the correct and standard accounting treatment is to post the periodic total of the **Sales Return Journal to the Sales Return Account — Option (iv)**.



Q.15

If a cashbook is prepared, then there is no need to prepare which of the following books or accounts.

- [A] Cash Account
- [B] Journal Proper
- [C] Purchases Book
- [D] Sales Book
- [E] None of the above

Answer: A



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Explanation

The correct answer is **option A**

When cashbook is prepared, there is no need **to prepare cash account because question of recording credit transaction does not arise**, as it records only cash transactions.

Hence, the balances of cashbook are directly entered in the trial balance.



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Q.16 – H.W.

Negative Balance of bank account column in cash book explains which of the following concept?

- [A] Cash deposited in bank account
- [B] Overdraft
- [C] Cash withdrawn from bank account
- [D] Cash transferred from bank account
- [E] None of the above



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Explanation

The debit balance as per the cash book means the balance of deposits held at the bank. Such a balance will be a credit balance as per the passbook.

Such a balance exists when the deposits made by the firm are more than its withdrawals. It indicates the favorable balance as per cash book or Favourable balance as per the passbook.

On the other hand, the credit balance as per the cash book indicates bank overdraft. In other words, the excess amount withdrawn over the amount deposited in the bank. It is also known as unfavorable balance as per cash book or unfavorable balance as per passbook.

Answer: B



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